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operationalising stakeholder engagement through enforceable governance metrics.

The legitimacy theory offers a sociological perspective, suggesting that organisations maintain survival by aligning their practices with societal norms and expectations (Suchman, 1995). From this viewpoint, disclosure and transparency function as legitimacy tools that sustain public trust. The post-2008 financial crisis era reinforced the idea that governance is about internal discipline and earning societal legitimacy (Aguilera and Cuervo-Cazurra, 2009). However, legitimacy can be superficial if firms engage in “greenwashing” or “diversity washing” to satisfy external audiences without real accountability (Marquis et al., 2016). The FRC’s 2024 Code, by reducing ESG provisions, risks weakening this legitimacy bond and may appear misaligned with evolving public and investor expectations for responsible business conduct.

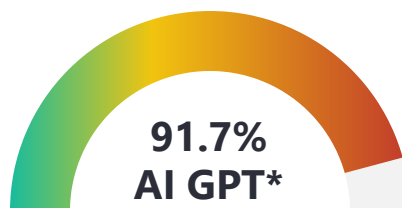
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Introduction

Corporate governance represents the framework through which companies are directed, controlled, and held accountable to their stakeholders. It encompasses the systems, principles, and processes that shape corporate conduct and ensure transparency, fairness, and responsibility in business operations (Tricker, 2022). The foundation of the UK Corporate Governance Code can be traced to the Cadbury Report (1992), which arose in response to corporate scandals that revealed deficiencies in board oversight and financial integrity. Over time, the Code has evolved through successive reforms, like the Greenbury (1995), Hampel (1998), and Combined Code (2003), to address emerging challenges in accountability, executive remuneration, and stakeholder trust (Solomon, 2023). In 2023, the Financial Reporting Council (FRC) initiated a consultation to strengthen the Code's effectiveness by enhancing internal controls, improving the "comply or explain" principle, and integrating sustainability and ESG considerations (FRC, 2023). However, the 2024 revision narrowed its scope to focus primarily on internal controls, omitting broader proposals related to ESG, diversity, and inclusion (FRC, 2024). The present critique evaluates whether these revisions advance the principles of good corporate governance, defined by the OECD (2023) as promoting transparency, accountability, fairness, and sustainable value creation, and whether the exclusion of ESG dimensions undermines long-term governance quality in the UK context.

Literature Review: Foundations of Corporate Governance

Corporate governance is underpinned by competing theoretical perspectives that shape how organisations define control, accountability, and stakeholder engagement. The agency theory, developed by Jensen and Meckling (1976), views governance as a mechanism to mitigate conflicts between shareholders (principals) and managers (agents). It assumes that management, driven by self-interest, may act in ways that deviate from shareholder value maximisation. Mechanisms like board oversight, incentive alignment, and transparent reporting are therefore essential to constrain opportunism (Fama and Jensen, 1983). However, agency theory's emphasis on financial control often narrows governance to compliance, neglecting ethical and environmental considerations increasingly demanded by investors (Aguilera et al., 2018). This narrow scope has been criticised for

encouraging short-termism and underestimating the social dimension of corporate responsibility (Solomon, 2023).

In contrast, stewardship theory challenges the assumption of managerial opportunism. Donaldson and Davis (1991) argue that managers, when trusted and empowered, act as stewards of corporate purpose rather than self-serving agents. This approach encourages intrinsic motivation, long-term orientation, and collaborative decision-making. Yet, stewardship theory risks romanticising managerial behaviour by underplaying power asymmetries and the potential for ethical lapses, as seen in cases like Carillion plc (2018), where the failure of oversight revealed that trust without accountability can lead to governance collapse (Financial Times, 2018). The tension between control and trust thus remains central to governance design.

Stakeholder theory (Freeman, 1984) broadens this debate by recognising that companies owe responsibilities beyond shareholders, encompassing employees, customers, suppliers, and society. This approach aligns with the growing prominence of environmental, social, and governance (ESG) principles in defining corporate success (Eccles and Klimenko, 2019). Empirical studies show that firms integrating stakeholder concerns into strategy achieve higher reputational capital and resilience during crises (Jamali and Karam, 2018; Amorelli and García-Sánchez, 2021). Nonetheless, critics caution that stakeholder inclusivity without measurable accountability can dilute strategic focus, allowing companies to symbolically adopt ESG rhetoric without substantive change (Michelon et al., 2019). The challenge lies in operationalising stakeholder engagement through enforceable governance metrics.

The legitimacy theory offers a sociological perspective, suggesting that organisations maintain survival by aligning their practices with societal norms and expectations (Suchman, 1995). From this viewpoint, disclosure and transparency function as legitimacy tools that sustain public trust. The post-2008 financial crisis era reinforced the idea that governance is about internal discipline and earning societal legitimacy (Aguilera and Cuervo-Cazurra, 2009). However, legitimacy can be superficial if firms engage in "greenwashing" or "diversity washing" to satisfy external audiences without real accountability (Marquis et al., 2016). The FRC's 2024 Code, by reducing ESG provisions, risks weakening this legitimacy bond and may appear misaligned with evolving public and investor expectations for responsible business conduct.

Resource dependency theory further reframes governance as a strategic response to environmental constraints. According to Pfeffer and Salancik (1978), boards serve as bridges to external resources, like capital, information, and political legitimacy, through their networks and composition. This theory supports the argument for diverse and independent boards, as diversity enhances access to

varied perspectives and strategic adaptability (Hillman et al., 2009). Empirical findings show that gender-diverse boards improve monitoring quality and innovation outcomes (Adams and Ferreira, 2009; Terjesen et al., 2016). Consequently, the FRC's retreat from explicit diversity targets in the 2024 revision may undermine the Code's alignment with the global trend toward inclusive governance standards observed in the EU's 2022 Directive on Gender Balance in Corporate Boards and Japan's Corporate Governance Code (2021). Comparatively, governance systems across jurisdictions demonstrate differing emphases. The US Sarbanes-Oxley Act (2002) institutionalised strict internal controls following the Enron scandal, reinforcing financial accountability but limiting flexibility. The German Corporate Governance Code (2023) integrates sustainability disclosures and co-determination through employee board representation, enhancing social legitimacy. Meanwhile, Japan's 2021 Code revision emphasises diversity and independent directors as instruments for innovation. These models illustrate that good governance transcends procedural compliance; it reflects contextual values, regulatory culture, and stakeholder expectations. The UK's narrowing of reform scope to internal controls thus appears regressive relative to international standards. For the UK, where public trust in corporate institutions has fluctuated post-Carillion and post-Grenfell, the FRC's decision to retreat from ESG and diversity dimensions risks signalling a step backwards in global governance leadership. A holistic governance framework must therefore integrate accountability with ethical purpose, financial prudence with social legitimacy, and internal control with external responsibility.

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